



HOW IT WORKS?

A period is fixed for the Aroon oscillator. We can fix this by changing parameters in the Chartink or Tradingview interface. By default, the period is set for 25. So, an Aroon up of 50 will represent the achievement of a new high in the last 50% of the periods i.e. in last 12.5 (50% of 25) days whereas an Aroon up of 0 will mean that the price has never gone higher than what it was at the start of 25 days. An Aroon up of 100 means that a high has been formed very recently. The same is true for Aroon down as well. Also, $\text{Aroon up} = 100 - \text{Aroon down}$ and vice versa. So, we will subtract Aroon down from up and obtain the Aroon oscillator value. Higher the Aroon oscillator value, higher is the strength in an uptrend and vice versa.

ELEMENTS

The single Aroon oscillator line is the core element that we will be dealing with. Secondly, Aroon oscillator is the difference between Aroon up and down. We cannot see these lines here, but upon enabling them separately, we will be able to see them. These are important as they indicate the strength of the upside and downside of the same. Lastly, we can change the periods that we intend to take into consideration. For instance, we can change the periods to 50 or even higher, all based on our trading timeframe.